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Eoptolink Technology Inc Ltd | Asia Pacific

Strong Growth Momentum
Highly Likely to Sustain; OW

AlphaSignals Earnings Reaction

Strengthens our thesis
Impact to our thesis**↑ Modest upside**
Financial results versus consensus**↑ Modest revision higher**
Direction of next 12-month
consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Eoptolink delivered significant growth in both revenue and earnings for 1H26.
- Thanks to accelerated delivery of 1.6T transceiver, we expect the strong growth momentum to continue in 2H26.

Strong revenue and earnings growth: Revenue doubled to Rmb20.91bn in 1H26 as 1Q saw revenue of Rmb8.34bn with acceleration in 2Q to an implied Rmb12.57bn. Net profit rose 91% to Rmb7.53bn with 2Q net profit at Rmb4.749bn, a 71% QoQ jump from 1Q's Rmb2.780bn.

Gross margin expanded to 48.46% in 1H26, up 1ppt YoY, thanks to a favorable shift in product mix toward higher-speed, higher-margin transceivers and higher-capacity utilization, output and sales.

1.6T shipments accelerating: While 800G transceivers were the primary product shipped in 1H26. 1.6T transceiver shipments in 2Q increased significantly compared to 1Q, with acceleration expected in 3Q-4Q.

New products innovation: Eoptolink demonstrated its next-generation IMDD 400G/lambda 1.6T DR4 OSFP transceiver and a 6.4T NPO silicon photonics module at OFC 2026 in March, clearly signaling a leading innovation roadmap.

Exhibit 1: 2Q26 Results Review

Rmb mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	YoY%	QoQ%
Net sales	4,052	6,385	6,068	8,337	8,338	12,572	97%	51%
	(2,080)	(3,407)	(3,220)	(4,259)	(4,239)	(6,542)	92%	54%
Gross profit	1,972	2,978	2,848	4,078	4,099	6,030	102%	47%
Operating expenses	(219)	(337)	(273)	(338)	(264)	(469)	39%	78%
Operating income	1,753	2,641	2,575	3,740	3,835	5,561	111%	45%
Non-ops	20	34	27	76	(589)	(117)	-441%	-80%
Income tax	(201)	(305)	(217)	(589)	(472)	(652)	113%	38%
Minority interests	0	0	0	21	(6)	43	na	-816%
Net profit	1,573	2,370	2,385	3,205	2,780	4,749	100%	71%
Key metrics								
Gross margin	48.7%	46.6%	46.9%	48.9%	49.2%	48.0%	1.3%	-1.2%
Opex	5.4%	5.3%	4.5%	4.1%	3.2%	3.7%	-1.6%	0.6%
Net margin	38.8%	37.1%	39.3%	38.4%	33.3%	37.8%	0.7%	4.4%

Source: Company data, Morgan Stanley Research

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Eoptolink Technology Inc Ltd (300502.SZ, 300502 CS)

Greater China Technology Hardware | China

Stock Rating	Overweight
Industry View	In-Line
Price target	Rmb507.14
Up/downside to price target (%)	23
Shr price, close (Aug 24, 2026)	Rmb412.00
52-Week Range	Rmb618.87-181.58
Sh out, dil, curr (mn)	1,394
Mkt cap, curr (mn)	Rmb574,433.8
EV, curr (mn)	Rmb567,202.3
Avg daily trading value (mn)	Rmb20,723

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	6.85	13.31	24.03	29.09
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)\$	9.74	14.97	24.53	36.83
Revenue, net (Rmb mn)	24,841.9	54,314.8	91,895.2	112,718.6
EBITDA (Rmb mn)	11,107.3	24,597.6	39,803.4	44,820.3
ModelWare net inc (Rmb mn)	9,531.9	18,558.9	33,510.9	40,563.2
P/E	44.9	31.0	17.1	14.2
P/BV	23.7	16.1	8.6	5.5
RNOA (%)	137.7	189.2	176.9	138.9
ROE (%)	114.5	102.7	94.1	60.5
EV/EBITDA	37.9	22.7	13.5	10.5
Div yld (%)	0.1	0.2	0.4	0.7
FCF yld ratio (%)**	1.2	1.3	3.0	4.8
Leverage (EOP) (%)	(45.1)	(49.7)	(58.0)	(67.3)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

\$ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Eoptolink Technology Inc Ltd (300502.SZ)

Residual income model, probability-weighted 30% bull, 50% base, 20% bear - skew reflects expected timeline for large-scale CPO application.

Key assumptions:

- CoE and terminal growth rate: 10% and 3.5% across scenarios
- High-end transceivers demand CAGR in 2026-2028e: bull 46%, base 43%, bear 43%
- 2025-35e net profit CAGR: bull 28%, base 25%, bear 20%.

Risks to Upside

- Later breakthrough in CPO
- Greater-than expected 800G/1.6T demand
- Faster-than-expected share gains in the datacom market
- Better cost control, leading to margin improvement

Risks to Downside

- Earlier breakthrough in CPO or other new technology
- Slower-than-expected share gains in the datacom market owing to intense competition/geopolitical tension
- Weaker-than-expected demand for 800G and 1.6T products
- Component shortage

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Eoptolink Technology Inc Ltd (300502.SZ) - As of 08/24/26 GMT in CNY
Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : NA/I; 5/12/22 : O/I; 12/1/22 : E/I; 4/20/23 : U/I; 11/6/23 : O/I; 5/16/24 : E/I; 5/20/25 : O/I; 9/11/25 : U/I; 2/27/26 : O/I

Price Target History: 5/12/22 : 10.93; 12/1/22 : 10.2; 4/20/23 : 18.22; 7/7/23 : 25.51; 11/6/23 : 20.41; 5/16/24 : 48.47; 10/9/24 : 73.98; 9/11/25 : 182.14; 2/27/26 : 328.57; 5/15/26 : 507.14

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/24/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$39.38
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb166.39
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.18
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.41
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.10
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb412.00
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$657.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.48
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.38
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.15
Largan Precision (3008.TW)	O (07/10/2026)	NT\$5,385.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.52
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.08
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.18
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$58.85
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb53.72
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.94
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.18
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb56.99
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$41.00
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.71
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$60.20
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb249.50
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.20
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.82

Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb379.19
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$140.80
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb104.90
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.24
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb870.22
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$23.30
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.13
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,070.00
Advantech (2395.TW)	O (01/20/2021)	NT\$658.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,435.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,855.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$25.25
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,015.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,050.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.75
Chenbro (8210.TW)	O (07/23/2025)	NT\$967.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,070.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,735.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$158.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$57.20
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,710.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$343.50
Innolux (3481.TW)	E (04/07/2025)	NT\$45.45
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$14,410.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb37.95
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$287.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.92
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.41
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb213.70
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.10
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$923.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$204.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$41.60
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$4.85
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb60.40
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$341.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$948.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$243.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb73.22
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,765.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$29.64
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,610.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,135.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$89.30
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$325.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb126.30
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb343.63
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,075.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$381.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$175.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,300.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$551.00
Zhen Ding (4958.TW)	++	NT\$435.50

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